predictable in reality, the amount of predictability is very small. This makes rebalancing the foundation of the long-run strategy. The small extent to which returns are predictable can be exploited by a long-run investor through an opportunistic portfolio. Daniel should stay the course and rebalance.

Rebalancing, however, goes against human nature because it is countercyclical. It is difficult for individuals to buy assets that have crashed and to sell assets that have soared. Part of Harrison's job as an investment advisor is to counteract these behavioral tendencies. The IPS can help by functioning as a precommitment device—a Ulysses contract—in preventing Daniel from overreacting and abandoning a good long-term plan.

But perhaps Daniel's risk aversion has truly changed. The classical assumptions, which we used in sections 2 to 4, are that risk preferences are stable and unaffected by economic experiences. This is not true in reality.[43] Malmendier and Nagel (2011) show that investors who experienced the searing losses of the Great Depression became permanently more risk averse and were far less willing to invest in stocks than younger investors who did not experience such large losses and economic hardships. They show further that after the recessions of the late 1970s and early 1980s, young investors who only experienced the market's low returns during these periods were more risk averse and held fewer equities and more bonds than older investors who had experienced the high returns of the stock market during the 1950s and 1960s. Thus, life experience does influence the extent to which investors are willing to take financial risks. But Malmendier and Nagel show that what changes after large losses is not so much investors' risk preferences but investors' expectations. People tend to lower their expectations about future returns as a response to searing losses rather than changing their utility functions.

If Daniel has truly become more risk averse, then rebalancing back to the old portfolio pre-2007 is no longer valid, and Daniel has to work with her financial advisor to come up with a new IPS. Changes should be made deliberately and carefully. The worst portfolio decisions often result from pure panic; many ad-hoc changes lead to pro-cyclical behavior. Otherwise, the dynamic portfolio choice advice is to stay the course. Rebalance.

[43] See Hertwig et al. (2004).